

Attractive returns. Low lock-in period. Tax-free dividends. Why save taxes with anything other than ELSS?

You try to make the most of the tax saving avenues available, one of them being section 80C of the Income Tax Act, 1961. These investments include PPF, NSC and bank deposits. While these come with tax-benefits, the returns are moderate and in some cases, taxable! Apart from this, your money may be locked-in for 3 to 6 years.

Tax saving solutions from mutual funds like Equity Linked Savings Schemes (ELSS) help reduce your tax burden and at the same time, aim to grow your money through equity investments.

They also have various advantages over traditional tax-saving investments like:

- **Low lock-in period:** Your money is locked-in for just 3 years, as against the much longer lock-in periods in other options.
- **Potential to earn dividends:** While your money is locked-in for 3 years, you may opt for the dividend option and can receive returns in the form of tax-free dividends during this time. This feature is unique only to tax saving solutions from mutual funds.
- **Earn market linked returns:** Since investments are made in stocks of Indian companies, the value of your investment moves with the stock market. Although it comes with market related risks, your money is diversified i.e. spread out across stocks of multiple companies and is being monitored by an investment expert with an aim to minimize such risks.